

MMPM-009

Retail Management



Retail Management

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Indira Gandhi National Open University
New Delhi

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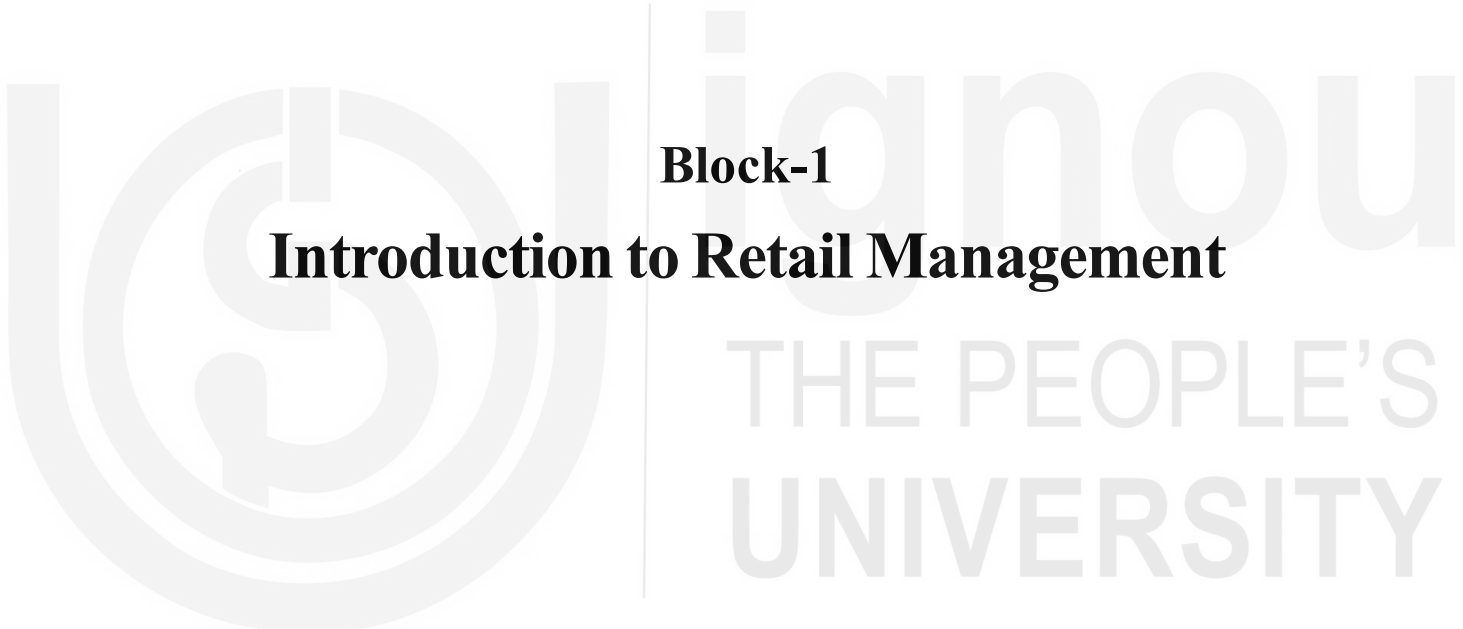
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Block-1

Introduction to Retail Management

THE PEOPLE'S
UNIVERSITY

BLOCK 1 INTRODUCTION TO RETAIL MANAGEMENT

Retailing includes all activities involved in selling of goods and services to consumers for their personal, family or household use.

Historically, the retail sector in India was highly fragmented yet, with passage of time the sector has evolved and emerged as one of the key contributors to the Indian economy. If you look at the retail sector in developed countries was also fragmented at the beginning of the last century, but thanks to the emergence of major retail chains like Wal Marts, Sears and McDonalds led to rapid growth of organised retail and growing consolidation of the sector in the developed countries.

Today, in India we see a rise in income levels, a sharp increase in the number of working women in India's urban centers have made goods and services more attainable and enticing to large section of the country's population. Concomitantly, trade liberalization and more sophisticated manufacturing techniques create goods that are less expensive and of a higher quality are being flooded in the market place there by facilitating conditions, which are favorable and conducive for the consistent growth of organised retail in India.

However the Indian retail scenario is much different from its western counterpart. Since Indian cities including the metros are still congested and a large part of the population is still concentrated in rural and semi urban areas. Besides the Indian houses/households are smaller and are not accustomed to by bulk on weekends.

Thus the Indian retail scene is very different from that prevailing in the developed countries. As organised retail grows, western retail formats are being modified and new formats suitable to Indian conditions are being adopted.

In spite of visible organized retail growing rapidly. Yet a large part of Indian retail is still likely to be unorganized. Besides all this, the Indian retail sector is on the growth phase of the sector's life cycle thereby making it a sunrise industry contributing amply to Indian economy.

This block includes 3 units.

Unit 1: Covers a spectrum of issues ranging from what retailing is all about to the trends and emerging challenges in the Indian context. The rural retail scene and emergence of retail formats, the existence of online retailers are being touched upon

Unit 2: The various concepts of retailing is the core of this unit. The changing pattern of consumer behavior is discussed. The classification of retailers the evolution of malls and other aspects such as merchandising, SCM, store location and layout are part of this unit.

Unit 3: Is fully devoted to the entire gamut of regulatory bodies their frameworks, the ethical and security issues and the allied which are essential to commence in staring retail business.

UNIT 1 AN OVERVIEW OF RETAIL SECTOR

Objectives

After reading this unit you should be able to:

- appreciate the importance of retailing in the distribution channel.
- develop a broad view of retailing business in India as well as globally.
- the challenges faced by organized retailing in India
- career prospects in Retailing

Structure

- 1.1 An Introduction to Retailing
- 1.2 An Overview of Indian Retail Business
- 1.3 Rural Retailing Scenario in India
- 1.4 Modern Retail
- 1.5 Category Wise Retail Penetration in the Indian Market.
- 1.6 Emerging Rural Retail Formats
- 1.7 Key Growth Drivers for Indian Retail : A Snapshot
- 1.8 Online Retailers
- 1.9 FDI in Indian Retail
- 1.10 Challenges Faced by Indian Retailers
- 1.11 Factor Essential for Successful Retailing
- 1.12 Outlook of Indian Retail
- 1.13 Global Retailing : A Glimpse
- 1.14 Career Prospects in Retailing
- 1.15 Summary
- 1.16 Self-Assessment Questions
- 1.17 References/Further Readings

1.1 AN INTRODUCTION TO RETAILING

Retailing encompasses sale of goods or services to the end customer for personal consumption or household usage. Retailing can also be viewed as the last leg of the distribution system for consumer goods or services. It includes range of products from small stitching needle to a luxury car. Retailers collect assortment in bulk from various manufacturers or marketers and break down into small quantities as per the demand from end customers.

Retailers interface with the end customer provides them with an opportunity to offer the exact quantity and quality of products / services at a price acceptable to the end customer. Thus retailers convey the demand pattern of the customers in their geographical area of operation to the marketer or manufacturer who can accordingly plan their production and marketing strategy. The characteristics which differentiates a

retailer from a marketer is their low average sales per customer, impulse purchasing by the customer and customers' inclination for satisfying experience during their shopping trip to the store. Therefore the stores' capability to provide an enhanced experience is the key factor for their success.

Retail business has been traditionally carried out by Kirana stores (also called "Mom and Pop" stores) in FMCG sector and Multi brand dealers or Exclusive Brand franchisee / company owned outlets in the case of consumer durables.

It is evident that over the years some retailers expanded their business by opening their own chain of outlets and gradually retailing became an independent business moving away from the influence and control of marketers. This category of retail businesses are referred to as "organized retailers" compared to traditional retailers or any private enterprise who are known as being part of "unorganized retailing" business. Thus they are known as organized retailers as their business processes and systems are well defined and operate under the various legislations related to business establishments. These new retail businesses require huge capital investment, therefore large business houses or large investors entered this domain.

Historically, the organized retailing concept started in 1980s in the western economy and is now being implementing in India since the last two decades. Walmart, Amazon and Best Buy of USA, Carrefour of France, Aldi and Lidl from Germany, Tesco and Spencer from U.K. are some of the famous retailing firms spread across many countries. This does not mean that unorganized retail had disappeared, but their numbers have reduced with advent of the above mentioned large retailers.

It is to be noted that the classification for retail business was carved over the years is referred to as offline or "Brick and Mortar" retail model, "Click only" or online model and "Brick and Click" model which is a mix of both. The online retail has grown drastically in post pandemic era and it is expected to capture 7% market share of the modern retail business (statistica 2022)

1.2 AN OVERVIEW OF INDIAN RETAIL BUSINESS

India, being a vast country with large population, has a huge retail sector. Its contribution to the GDP is staggering 8-10% and it is the second largest employment generation activity after agriculture in India and employs about 8% of the country's workforce. The retail market's anticipated size was 1.2 trillion dollars in 2022, with the majority of sales coming from the food and grocery segments. India's retail sector is growing exponentially, with retail growth extending to tier II and III cities.

The unorganized sector in India is accounting for the 88% of retail business is constituted by an estimated 12 million small retailers and *kirana* stores (mom and pop stores) and numerous vendors and hawkers. Though, no literature has been able to convincingly claim these figures due to their sheer enormity and lack of systematic survey by any credible agency.

Predominantly, there are two types of traditional retail formats, namely

1. **Kirana and Independent stores.**
2. **Cooperative and Government owned stores.**

Kirana Stores

Kirana stores are the Indian counterpart of Mom and Pop stores selling all household and personal goods and general merchandise to Indian masses. The Kirana's and the general stores are spread all over the rural and the urban places in India and they reflect a good amount of retail business albeit (in spite of) being unorganized and poorly maintained. These shops have small areas with limited stock of daily commodities according to the demands of the clientele. It also varies from region to region according to the functioning style of the owners. The general stores have only packaged FMCG products and branded products which are high in demand, but the scenario may be different in small towns and villages where loose or unbranded items are sold in large numbers. People find these types of stores prominently in their neighbourhood and residential areas. The chemists selling the pharmaceuticals products in the residential areas are dispensing the branded FMCG products, especially the health foods and the personal care products.

Most retail stores are family owned business in which the household efforts are being used to run the stores. They are also a reflection of unemployment in disguise or additional source of family income in small towns and villages. In various traditional retail outlets branding is not the criteria as sometimes these traditional store keepers sell the products on the basis of their relationship with their clients, particularly in Small Township and the rural areas. These retailers influence the brand perception and products of the clients. At present these traditional retailers are facing the new wave of competition from modern retailers. Hence, they are providing value based services to the customer such as free home delivery of the products, even the telephone based delivery, and self service formats and so on. They are trying to improvise the shopping experience as well as competing with their rivals by providing such services. This has been termed as the new wave in retailing by industry. In the entire chain of the value based developments, the small independent retailers play a crucial role in India. The importance of these small retailers has been acknowledged by the sellers and the customers. The increase in stock keeping units over the years has been the key factor for the rising trust on the small retailers in India. The increasing trend of the stock keeping units has pressurized the shelf space. The demand in width of distribution instead of depth has been sought by the marketers over the years. Hence a significant role is being played by the small retailers as the circulation channel for the FMCG products in existing as well as new settlements in the urban areas.

Co-operative and Government Bodies:

The cooperative bodies and the Government are running a number of retail stores in India dealing with various commodities. These initiatives were conceived for the purpose of creating employment opportunity by boosting up the creeping industries keeping the socio economic development and welfare of the state in mind. The stores which are the examples of the government sponsored organized retailing are Super Bazaar, Kendriya Bhandars, (KVIC) Khadi and Village Industries Commission along with the controlled price Public Distribution System(PDS). These outlets were created as user friendly units, as its price suited the pocket of the customers. They were stocking large variety of products and trustworthy materials, yet it couldn't receive the desired footfall of the customers as they were characterized by average customer service, poor upkeep of the stores and lacking sincerity. Some of the successful retail institutions managed by the cooperatives and government institutions are as follows:

- *Mother Dairy and Safal*
- *Public Distribution System*
- *Central Cottage Industries Emporium*

1.3 RURAL RETAILING SCENARIO IN INDIA

Rural areas having a population of more than 1500 enjoy a strong parallel retail format set up such as *Periodic markets* (Shanties, Haats, Jatras) and the allied.

Periodic markets are traditional places where rural customers congregate for their weekly or daily purchases. They are called by different names i.e. Shanties/ Haats/ Jatras by people in different parts of the country. While *shanties/Haats/Jatras* are held on a particular day of a week, periodic markets are normally tied with religious festivals. These places attract a large number of itinerant merchants and temporary shops are set up to sell variety of merchandise. The popularity of *Haats* can be gauged by the footfalls and turnover which suggests that more than 80% of the buyers are regular visitors. 58% visit *Haats* to buy specific products, although more than half of the shops have similar products in their villages.

1.4 MODERN RETAIL

Indian retailing has been witnessing the emergence of organized retailing quite late and it is still at nascent stage as organized brick and mortar retail only constitutes a meager 12% of the total retail business amounting to \$ 836 billion. A crisil report of 2020 claims organized retail to be generating a business worth 4.7 lakh crores. Apart from the kirana stores, Indian retail market boasts of various versions like, road side dhabas, street hawkers, and flea markets in various parts of cities operating on a specific day of the week and village mandis operation on daily or may be weekly basis.

A report by BCG claims that Indian organized retail is expected to grow by 9% from 2019 to 2030, whereas “statistica” claims that unorganized sector has fallen by 10% in the last three years from 2001 to 2021. Further, the online retailing is estimated to grow by 25-30% p.a. over the next 5 years till 2026 (A report by Bain & company). There is a sharp variation among the four regions of India, with North India having 32.8 % and East India having just 9 % market share in the organised retail (IRIS primary research). The major players in the modern retail are Reliance Retail, Aditya Birla Retail, Spencers’ (from Goenka group), Shoppers Stop from Raheja Group and Tata group. It is evident that the large and established business houses are the major investors in this sector, the reason being it a capital intensive sector with long gestation period. This apart there are other foreign brands like Ikea, H&M, Allen Solly, Van Heusen, Zara and Sarwosky which have set up their chain either independently or in collaboration with local Indian players.

1.5 CATEGORY WISE RETAIL PENETRATION IN THE INDIAN MARKET

The highest share of organized retail is accounted by Food & Grocery (68%), followed by Electronics and then lifestyle products, but if the data for category penetration is

observed, food and grocery has the last penetration (2.7 %) followed by pharmacy (5.4 %), whereas Consumer durables and IT have been able to penetrate nearly 30.8% of the Indian market. This reflects the realities of the Indian economy where a large percentage of population still spends a sizable portion of their disposable income on Food and Groceries.

Major players in India retail business

Company Stores	Revenue (crore)	Sales Growth (Y-o-Y)	Stores
<i>Reliance Retail</i>	1,62	37	10,901
<i>Future Group</i>	2021	48	1511
<i>DMart</i>	21137	32	176
<i>Aditya Birla Fashion Retail</i>	8787	15	
<i>Shoppers Stop</i>	19,487	-	3000 +
<i>Trent (Tata Group)</i>	2708	-	86 +
<i>Infiniti Retail</i>	5208	-	264
<i>V Mart</i>	1674	-	170

Source: Crisil rating, 2020

Some other players which forayed in this market resorted to early exit due to non-sustainability of their business, such as the likes of Subhiksha in South India. Some retailers like ABRL's apparel stores 'Pantaloon' and online retailer like "Big basket" sold out their business to large business houses of India like Reliance and Tata group respectively.

Once the retail industry moves towards maturity stage very few, but retail outlets owned by large business houses like Ambani, Adani, Raheja, Goenka, Tata and Birla would be operating in this industry.

1.6 EMERGING RURAL RETAIL FORMATS

Currently, large players like ITC (Indian Tobacco Company), Godrej, DCM Shri Ram Consolidated Limited are expanding their presence in rural areas. They have not restricted themselves to agricultural products, but have added various consumer household products and telecommunication services. The reason being the realization that 25 percent of rural consumers are not dependent on agriculture business, but account for over 50% of the income in rural areas.

Another important consideration is the increased expectations and awareness among the rural customers about the large choice set available in urban areas. ITC has diversified its portfolio in the rural market by adding cookies, garments, incense sticks and matches. This initiative now comprises about 6100 installations covering over 35000 villages and serving over 4 million farmers. Currently, the 'e-Choupal' website provides information to farmers across the Ten Indian States of Madhya Pradesh, Haryana, Uttarakhand, Uttar Pradesh, Rajasthan, Karnataka, Kerala, Maharashtra, Andhra Pradesh, and Tamil Nadu. It had set up around 80 retail outlets called Choupal Fresh

and plans to expand its rural supermarket ChoupalSagar to 23 by 2020. Godrej Aadhar, the rural initiative of Godrej Group (later purchased by Future Group) has 133 stores across rural India. DSCL's *HariyaliKisan Bazaar* was doing quite well till 2009 having 160 outlets, and plans to scale it up to 300 in the next two years. They were selling the same merchandise as being available with their urban counterparts. All these stores are facing the problem of sustainability as the footfall is not enough to recover the infrastructure cost. Availability of trained manpower is a major problem, but still these rural initiatives are trying to become self-reliant by shedding the image of parent companies in agri business

These understandings are necessary for the organized retailers to plan out their strategy for Indian hinterland.

1.7 KEY GROWTH DRIVERS FOR INDIAN RETAIL: A SNAPSHOT

Modern retail has entered India through sprawling shopping centers, multi-storied malls and huge complexes offering shopping, entertainment and food courts under one roof. The increasing numbers of nuclear families, easy financing options, increase in the number of working women and emerging opportunities in the service sector during the past few years have been the key growth drivers for the organized retail sector in India. The following factors additionally contribute to the growth of modern retail:

- Change in demographics towards more young customers, with an average age of 27 years in 2015 (Wordl.bymap.org).
- Increased credit friendliness by financial institutions
- Consumer Pull
- Influence of western culture
- Increase in double income no kid's household.
- Hectic lifestyle encourages customers to seek ready made products/ services
- Low penetration of organised retail
- Increase in demand for 'non-essential' products
- Advent of packaged food products requiring adequate shelf space and refrigeration in the retail outlet
- Increased disposable income changing consumer preferences, seeking everything under one roof
- Organized retail is able to provide a unique shopping experience through its ambience
- Increased awareness by the consumers leads to a desire for empowerment in taking purchase decision.
- Entry of Corporates: With the entry of large conglomerates, such as Bharti, Reliance, Tatas, Aditya Birla and ITC, in retailing – along with the existing

small and regional players- the Indian consumer today is in a position to avail and enjoy the shopping experience and satisfaction, entertainment, quality products aided by polite salespersons providing product information and discounts. The competitive environment will throw open new innovations, improvements and niche markets.

- **New Entrepreneurs:** The growing attractiveness of the retail trade has begun to attract new entrepreneurs with ideas.
- **Foreign Retailers:** The increasing attractiveness of the sector had drawn the interest of a number of global retailers like Zara, Sarwosky etc. With the opening up of the economy, more and more MNCs have entered the Indian business arena through joint ventures, franchisees or even self-owned stores.
- **Technology:** Introduction of RFID, interactive kiosks at the store, Augmented Reality and Virtual Reality (AR & VR) have revolutionized the retail operations and enhanced shopping experience.
- **Trained manpower:** The last decade has witnessed many professional institutes and private colleges sprung up offering retail courses and training modules. The industry's need of qualified and trained manpower is being met by these professional institutes.

1.8 ONLINE RETAILERS

Increased usage of smart phones and availability of internet services at peanuts has contributed to the growth of online retail in many developing countries across the globe. There are few other factors impacting online retailing are listed below:

- Changing lifestyle
- Time constraints
- Vast availability of options to choose from
- Convenience of time and place of purchase
- Easy payment options though UPI (Unified payment interface)
- Promotion on social media due to their popularity
- Availability of door delivery of products / services

Amazon and Flipkart have been two successful players in e-marketplace offering merchandise in all categories. This apart, there are category specific retailers like, Nykaa, Myntra, snapdeal, Ebay, clovia, Meesho, Mamaearth and shopify operating in Indian e-space with different business models. The online businesses received a boost during pandemic, but the experience availed by Indian consumers, even in Tier 2 and 3 cities have encouraged consumers to explore online sites for options and deals before taking their purchase decision. Therefore, they have evolved as new competition for brick and mortar retailers who are lobbying with the government for implementing strong policies for operating in e-marketplace. The offline retailers are additionally ensuring their presence through their own portal or microsite for better brand visibility and direct access to the customers.

1.9 FDI IN INDIAN RETAIL

FDI in single brand retail was allowed by the Government of India with foreign stakeholders having 51% share and 100% FDI in wholesale cash and carry format through automatic route in the year 2006. After many deliberations among various stakeholders and no consensus emerging across the country, Indian government has cleared the proposal for 51% FDI in multibrand retail in the year 2012. This move is expected to attract many famous retailers like Tesco, Wal-Mart and Carrefour to India thus bringing in the much required capital to boost this sector. Yet, given the complexity of the India market due to fragmentation, supply chains functioning on very low margins, a weak back end; it is difficult to present a rosy picture of Indian retail in near future.

1.10 CHALLENGES FACED BY INDIAN RETAILERS

- Customer's empowerment has increased the expectation of Indian customers. Retailers are putting every effort to capture the consumer's wallet share and are on an experimental spree, thereby creating a situation where compromising with image and quality, heavy discounts, venturing into new business models and vying new markets are becoming rampant. This is not letting them consolidate the business in a competitive market. The industry needs to evolve in a way where every player has a room to sustain and grow.
- Due to the high rental cost, a major component of the operating expenditure, the operating cost of retail is still very high. The industry tried to counter this problem during the downturn by renegotiating with the developers, but this was confined to mall retailing.
- The other issues related to real estate are the time consuming process in title clearance, requirements of numerous lease deeds in the case of multiple ownership and difficulties in conversion of normal land into commercial use are some of the basic difficulties encountered by the retail community. To open a store with all facilities, the retailer has to seek as many as ten to fifteen clearances from several government agencies that are plagued with red tape, inefficiency and corruption.
- The changing consumption pattern in a developing economy like India is also one of the biggest challenges for the retailer. The days of brand loyalty are few and the demand for exclusivity and consistent service provider is gaining momentum. To meet these demands, the industry needs to react in time.
- Challenges on the labor front include limited supply of trained workforce and laws, which hinders smooth operations as per the standard operating procedure (SOP) of the organization. The existing labor laws prohibit extended working hours, therefore the only way out is to engage employees in shift, which increases the cost of labor drastically. In situations of seasonal demand cycle, the stores would prefer to employ part timers, which is again contrary to the existing laws.
- Consumer goods marketers require a drastic change in their mindset and hence their strategy while dealing with modern retailers as against the traditional kiranas. Indian marketers are still low on the learning curve and have not been able to participate in category management of various retailers as modern retailers are supposed to sell assortment of products and not just a brand. Moreover shopping

habit differs with formats; hence different category management strategy has to be pursued in different formats.

Post covid, customers are frequently resorting to online space for comparing the offer in offline space and this has further put pressure on the margins of retailers as well as marketers.

1.11 FACTORS ESSENTIAL FOR SUCCESSFUL RETAILING

- Identifying the most important factors of success and prioritizing them accordingly. This may vary with the business model and the dynamics of the local market.
- Good understanding of competition, as competitive scenario is specific to location and business model.
- Regular updates about changing taste and preferences of customers in the catchment area. This may be the consequence of changing demographics in the catchment area or evolution of the broader consumer ecosystem
- Updating inventory on regular basis based on changing market dynamics and customer preferences.
- Conduct third party audit once a year for an unbiased identification of the lacunae in the function of the store

Examples of Successful retailers : Lifestyle, Dubai based fashion retailer, McDonald's an American fast food retail chain, Ikea, self-assembling modular furniture retailer are some examples of foreign retailers who understood the Indian retail ecosystem and are viewed as success stories.

1.12 OUTLOOK OF INDIAN RETAIL

The Government's aim to make India a 5 trillion economy and push for "Make in India" and "Vocal for Local" campaign is bound to increase the demand for consumer products. On the supply side, "ease of doing Business" would encourage small entrepreneurs to invest in this sector. This would lead to opening of new stores in different formats for different categories of products and services. This explains the success stories of smaller players like, Vishal Mega Mart Vmart and DMart whose growth in urban and rural areas over the years have been phenomenal.

Similarly, much smaller players like 'Chayos', "cafe coffee day", "Haldiram", "Bikaji" have established their dine-out stores across India. The new ecosystem would witness the major players listed above having their presence in new categories with different formats and many small players competing with them in each category in online as well as offline space. Like Blinkit competing with Reliance jio Mart.

1.13 GLOBAL RETAILING: A GLIMPSE

As mentioned in the introductory section, some retailers have not only established a strong foothold in their country of origin, but have also expanded their footprints across many other countries and global markets as well.

The top ten retailers (as per their financial performance during FY 2020) across nations are:

- | | |
|--------------------------|----------------------|
| ❖ Walmart Inc. | ❖ Walgreen Boots |
| ❖ Amazon Inc. | ❖ Aldi GmbH |
| ❖ Costco wholesale corp. | ❖ JD.com |
| ❖ Schwarz group | ❖ Target Corporation |
| ❖ Home Depot inc. | |
| ❖ The Kroger Co. | |

Source: Deloitte Global Report (2022)

A major shift among the global retailers' offerings has been the focus on sustainable products or services since 2020 (Deloitte Global report). Africa, Middle East and Latin America regions, in that sequence, were worst hit during the pandemic in terms of profitability. (Deloitte global report of 2022) FMCG segment followed by Hardlines and Leisure goods were the focus of major categories for retailers across the globe in FY 2020. The new entrants in the top 250 list for FY 2020 included retailers from other countries like Russia, Ukraine, Israel, Japan, and Greece apart from U.S. as well, but the current infighting between Russia and Ukraine and a stagnant economy in Europe would result in drastic change in the above list for 2022.

Concerns for Global Retailers:

- Inflationary trend across the globe
- Disrupted supply chain due to war and pandemic
- Tough monetary policy of leading economies to control inflation
- Short supply, but increased expectations from the labor market in many countries.

Therefore, the global retailers are increasingly shifting their focus to emerging economies due to their better growth prospects when compared to mature economies in Europe as well as U.S.A.

1.14 CAREER PROSPECTS IN RETAILING

There are ample prospects of employment opportunities and jobs in retail industry across formats and locations. But one should be aware of the fact that the kind of education, experience and exposure that one possesses should be in line with the positions available and match to the requirements of the retail organization. Just to make a mention that one can build a career and grow with the industry in different sections/ departments etc. For the benefit we below mention a couple of positions that one can look into and pursue.

Profiles in Back end Operations:

- *Vendor management executive:* Are responsible for handling vendors who supply merchandise to the outlet(s). They maintain a list of vendors who can

be approached to supply quality merchandise at the right time to the store so that the store is not only able to meet the demands of the customers but also avoid any stock outs.

- *Warehousing executive:* Is one who works closely with vendor management team to ensure that right type of merchandise in right quantity is maintained in the store warehouse or at redistribution centre (RDC). This merchandise can be delivered to the store in the least possible time so that the store is neither overstocked or is out of stock at any given point of time.
- *Category management executive:* is responsible for generating profitability of one or more categories in the store, depending on the store size as well as the category in question. The profile suggests in ensuring the placement of the right mix of products, brands and SKUs in the assigned category. They also coordinate with the backend teams for timely availability of the required SKU (stock keeping unit)

Operation Profile:-

- *Department Executive /Manager:* A department manager is responsible for one department, floor or maybe even a category, if that category is too big, in the store and reports to the store manager. A department executive would be reporting the department manager in very large stores (hypermarket format) as the departments is too huge to be managed by one DM.
- *Manager- Retail operations:* The role is to plan and coordinate the functioning of the store as per the SOP (standard operating procedure) laid down by the Head office. It includes store opening and closing activities, inventory audit, supervising visual merchandising scheme and handling store level human resources issues.
- *Visual Merchandiser:* As the name suggest they are responsible for giving the desired 'look' to the store's brand by coordinating with retail communication team, back end operations team and brand management team.
- *Business Development* roles include setting up new stores in the chain or may be closing/ relocation of the poor performing stores.
- *Business Development (BD) Executive/ Business Development Manager:* In order to set up new stores, BD teams conduct locational analysis, negotiate land owner for lease of space, work out the plan of the store, its merchandise, positioning in the local market and stocking the relevant merchandise. Once the store is operational, they hand over the charge to the concerned store manager and proceed to set up another store.

1.15 SUMMARY

Retailing has been in existence since times immemorial for decades but its structure has changed in the last couple of decades with onset of modern retailing. These retail businesses are big and function in a systematic manner but that does not reduce the importance of traditional retailers. Both the categories coexist and each has their own significance and clientele to cater to.

The evolution of internet and online payment interface has further revolutionized this sector. At present most retailers are present in offline and online space to tap all possible segments. The propensity of being present on all possible platforms increases the cost of operations and does put pressure on retailers to be sustainable in long run. The critical issue to be successful in retailing is to adapt to local conditions in different ways. Therefore retailers are experimenting with new strategies to be viable, but all this is beneficial for the customers who are better placed to make their purchase decision.

1.16 SELF -ASSESSMENT QUESTIONS

- 1) Discuss the importance of retailing and its role in Indian economy.
- 2) Name and discuss the two types of retail formats which were operating in the Indian scene.
- 3) What is modern retail? Discuss its features, scope and growth in the Indian context?
- 4) Define rural retailing and highlight the rural retail formats that you are familiar with.
- 5) Enumerate and explain the key growth drivers for Indian retail.
- 6) What are the major challenges faced by that Indian retailer? Substantiate.

1.17 REFERENCES/FURTHER READINGS

Managing Retailing: Piyush Sinha & D.P. Uniyal, Third edition OUP.

Retail Management: J.K. Nayak & Prakash. C. Dash Cengage Publications, 2018

UNIT 2 CONCEPTS OF RETAILING

Objectives

After reading this unit, you should be able to:

- aware of the basic theory of retailing.
- have an exposure to classifications of different types of retailing.
- appreciate the significance of each type of retailer.
- possess knowledge of the various concepts of modern retailing.
- discuss the significance of planning store operations.

Structure

- 2.1 New/Emerging Customer and their Behavior: A Snapshot
- 2.2 The wheel of Retailing
- 2.3 Classification of Retailers
- 2.4 Brick and Click Model of Retailing
- 2.5 Evolution of Malls vs. Standalone store
- 2.6 Identifying Retail Store Location
- 2.7 Store Layout and Design
- 2.8 Supply Chain Management (SCM)
- 2.9 Merchandising
- 2.10 Private Labels
- 2.11 Retail Store Operations
- 2.12 Summary
- 2.13 Self–Assessment Questions
- 2.14 References/Further Readings

2.1 NEW/EMERGING CUSTOMER AND THEIR BEHAVIOR: A SNAPSHOT

Indian consumers behavior is changing at a very fast pace with the advent of broad band connectivity, infrastructural improvements, more disposable incomes, offer of personal loans and EMI's on purchases, door delivery of goods and services. The complexities arising out of these changes are further catalyzed by the experiences of lockdown during COVID and visiting the store after the end of pandemic.

Indian society is largely depicted as a trapezium with a burgeoning middle class. The middle class can itself be characterized as upper, middle and lower middle class who vary in terms of their disposable income and expectations. The attitude and lifestyle of an average Indian has changed considerably in the last two decades impacting their purchase behavior. The phenomena of sharing accommodation in metros and large urban cities, during college days and initial career phase, hectic lifestyle focused on building career with new acquired skills in unconventional domains, increased social

engagements on social media and less personal interactions, warding of many social taboos and embracing new social engagements, late marriages and working actively till 70 years of age, aged parents living away from their children, increased longevity of average Indian have all contributed to change in the demand pattern of Indians. Indians have become more aspirational in a world connected through digital networks.

The earlier generations including people born till 1990s had been exposed to shopping at traditional kirana stores, but the generations born post 90s have been gradually exposed to shopping in modern retail outlets.

The traditional shoppers, still prefer shopping at kiranas which was characterized by offering few but relevant options related to product, brand and SKUs, were present in proximity, offering credit as per their level of comfort, providing options of buying in loose and being friendly and trustworthy due to familiarity over generations. They are attracted by their acquaintance and personalized behavior of the kiranawala, expect easy credit facility, are comfortable with close proximity of the retail outlet and have a tendency to buy loose/unpacked products and commodities as per their immediate requirements.

On the contrary the modern shoppers have different priorities. They view shopping as leisure and entertaining activity, but also may settle for convenience if that seems to be more desirable in a specific situation. They are attracted by 'brands', expect fresh and quality stock, that too in huge variety. They prefer to indulge in credit/ debit card payment. Therefore the modern retailers are characterized by offering fun and leisure, providing all avenues of online transactions as well as credit facility, providing large number of merchandise options with attractive promotional offers and discounts on multiple issues and occasions.

The starting point for crafting retail strategy is an in depth understanding of the new and modern customer. Thus the pressing need of the hour is a detailed understanding of the consumer behavior in every region, be it city, state or region or country, helps the retailer in customizing their services. Accordingly, retailers can plan their positioning in the concerned market which leads to designing their merchandise, communication and add-on services.

McDonalds offering soup, potato or paneer burger or salads and other vegetarian dishes as part of its menu in Asian countries, whereas McDonalds selling beer and meat pies in European countries are a classic example of the same.

Emerging pattern of consumer behavior in era of Omni channel retailing:

Shoppers are involved in the utilitarian shopping for any high involvement category like Air Conditioner or experimenting with a new category or product as they have easy access to all relevant information online which they may supplement by store visit, but may end up buying online due to better price based offers.

While customers purchasing offline prioritize hedonic benefits over utilitarian or may be both benefits. They value the services being offered in the store and the overall experience of relaxed and satisfied shopping. Yet, the cultural, psychological and demographic diversity impacts the purchase behavior and therefore retail chains have to be sensitive to these issues while operating across different cities or countries. A classic example would be that of famous designer jewelry retailer 'Sarwosky'. The retailer had introduced special earrings for Indian women which could be worn on

pierced ears as per the tradition in India. This was entirely different from the earrings being sold by them in western world where earrings are worn with clips, as ladies do not pierce their ears.

The ability to 'try out' or experience the product at modern retail has in turn impacted consumer behavior. The 'situation' created by the retailers in store provides an overwhelming environment for availing that experience. This is relevant to categories like apparels, shoes and jewelry where hedonic benefits are the more important. The ambience of the store further acts as an influencer in swaying customers' decision. Some retailers provide an additional space for children in store to play, thus providing a stress free shopping to young parents. This turns out to be an outing for the whole family. The trial room with full size mirror for trying out apparels, footwear, jewelry, spectacles frames and personal care products like cosmetics are examples of 'experiences'.

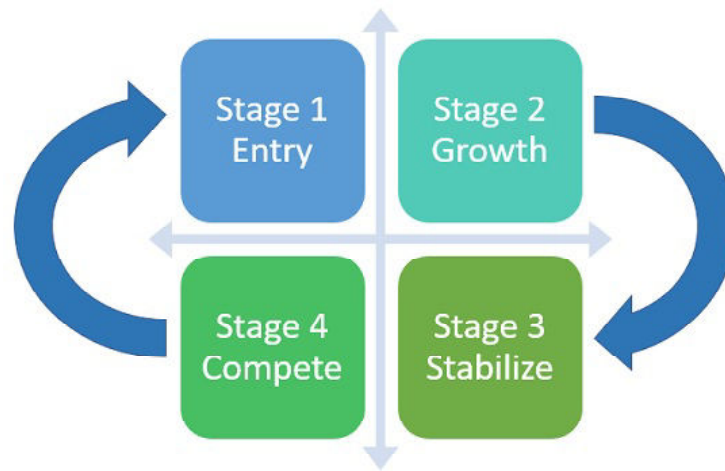
The shop floor salesperson's role cannot be underestimated as they are able to get full attention of the customers without any distractions from any competitor's message. The experience is not limited to brick and mortar stores but are being attempted by online retailers through augmented reality / virtual reality (AR/VR). Once these technologies mature it will be easy for online retailers to imitate offline retailers to a great extent. The future trend would be more customers only buying online, that too across more number of categories. For instance, a customer can gauge at a virtual magic mirror at the retailer's site and decide on the type of facial care product to be used, based upon the feedback of this magical mirror on the skin texture of the individual. Similarly a customer looking to buy a matching pair of trousers for his upperwear which may be most appealing for his personality may use the services of virtual mirror which would offer the best match through artificial intelligence (AI) based programme.

It is to be appreciated that retailing is inherently a service. Therefore the retailer offering the best level of service in all forms i.e. touch and feel, social interaction, personal attention, no wastage of time while shopping, convenience of looking for the right product, support for making fast purchase decision, ease of payment, fast resolution of customer complaints and sundry services like parking space, availability of children's playing arena and shopping trolley or escorts till vehicle parking would be the key success factors for any retailer in the offline format. Similar factors would be applicable in the case of online retailing barring some of the services mentioned above.

2.2 THE WHEEL OF RETAILING

Wheel of retailing is a concept which proposes that a retail business by and large will go through four phases of transformation starting from being a small and micro player based on price discounts to a big well-known and prominent store. These four phases - Entry, Growth, Stabilization, and Compete happen in a circular fashion for a retail player. Most of the retail businesses start on low cost, low price and low margins but as their sales start increasing they quickly shift to a high cost, high revenue model.

It is to be noted that, wheel of retailing is more of a business trend/development which happens usually but it is not a rule. It may not happen to many players but it is more of a concept which is observed in the market.



Retail business evolution at any place starts with a retailer offering value to customers through low price, low margins limited facilities and few merchandise. As the area develops with increasing population having higher expectation due to increased trading, upmarket retailers, offering elite products are attracted to set up their business. Gradually that area becomes too crowded due to large number of retailers targeting fixed number of buyers, leading to lower ROI for the retailers. Thus the retailers further move on to set up their business in upcoming new market / location where competition is less at the moment, so that they can avail first mover advantage. Therefore, the wheel of retailing has completed one circle and the repeat evolution of retail structure is witnessed afresh in this new market/ location. This is the basic and foremost theory of retailing. Famous home grown retailers, like Haldiram restaurants, SarvanaBhavan, Agarwal sweets, Café coffee day and foreign retailers like Walmart, McDonalds, Best Buy, Zara, Lara etc. started their outlet in one city and then gradually entered new cities eventually crossing domestic borders. At present their footprints are present across the globe in countries providing enough opportunities for setting up their retail business.

2.3 CLASSIFICATION OF RETAILERS

Based on Ownership:

1. Independent store having one single outlet. In India 98% of the stores belong to this category.
2. Chain of stores across cities and towns. This category account for 25% in advanced economies but are very less in number in India.
3. Leased departmental stores where a department in the store is rented by the manufacturer in lieu of rent for utilizing that space.
4. Franchising, the franchisor lays down norms for the franchisee to operate the outlet in lieu of royalty to be paid to the franchisor for utilizing their business model.
5. Vertical marketing system, where the manufactures has a stake in the business of all channel members till the retailing stage.

Store Formats

They are generally classified in two segments; Food oriented or General merchandise oriented stores

1. *Convenience stores*: As their name suggests they are located in every possible nook and corner of the city and carry over 1000 SKUs. They are generally over the counter service outlets, known as *kiranas* in India.
2. *Supermarket*: large food store of 4K -5K square feet, but sells other daily needs consumables as well. E.g.; Delhi's super bazaar (closed now), Reliance Fresh outlets in some cities.
3. *Box Stores*: They are essentially discount stores but also sell lower priced private labels (own brand of the retailer) e.g.: D-Mart
4. *Hypermarket*: Very large sized stores with an area of 50K -100K sq. feet like Pantaloons, Hyper city and Trent. They offer huge range of merchandise from, grocery, household items, apparels, footwear etc.

General Merchandise:

Department stores: They are huge stores of over 10K sq. feet largely dominated by apparels.

Brand Oriented: Stores can be classified on the basis of variety of 'brands' stocked by them. They can be exclusive brand outlets known as "EBOs". Merchandising decision of stocking exclusively store brands can be a key differentiator in itself. *Ikea*, with its own brand of furniture, *Zara* the garment retailer of Spain and *Gap* are popular examples of this strategy. This strategy gives a lot of flexibility to the retailer regarding its positioning. This subsequently translates into the breadth and depth of assortment on offer, as well as the promotions surrounding them. Customers, who are brand conscious, prefer to visit these stores.

EBOs of some known marketers which were largely franchisee owned and operated had been in existence in past as well, but their significance increased with the advent of modern retail. Now the modern and large players prefer to have their own outlet so as to have better control on the services being rendered to the end customers.

Multi Brand Outlets or "MBOs" stock multiple brands, may be, including their own brands like Reliance Retail, Croma, Vijay Sales. The objective is to provide more variety to the customers in terms of brands. This apart, the traditional retailing i.e "General Trade" mostly are MBOs. Their overheads are low, which translates in their offering lower selling price, their locational convenience and familiarity of local population with these retailers have been the main stay of the traditional MBOs.

Store Based Retailing: Retailing was largely store based till 2010. Apart from the various formats mentioned above some other offline formats have evolved over the years.

Offline Formats:

Cash and Carry

Cash and Carry is primarily a wholesaler specifically catering to small retailers who buy on cash. Thus this is a B2B business model offering merchandise in bulk. It is convenient for the mom and pop retailers as large set of merchandise are available under one roof and operational hours are long without any weekly off. They pose a new threat

to the traditional wholesalers and distributors. As 100% foreign direct investment (FDI) is allowed in this format, Metro AG of Germany is one such format operating in India. Tata's have their outlet known as 'Khet-se' to provide fresh farm produce. Other players planning to enter in this business are India Bulls and Videocon group.

Non- Store Based Retailing: The fast paced advancement in IT, AI and related emerging technologies paved way and contributed to the robustness of transacting online business resulting in fast development of non-store retailing on online platform. It is to be noted here that non store retailing existed prior to the emergence of online retailing.

Catalogue Retailing: is a format where merchandise is sold by offering product catalogues through salesman. The customers can go through the catalogue as per their convenience and place orders with the salesman. Most popular examples have been Amway, Tupperware, Modicare, Avin, Herbalife and Oriflame. With the emergence of online even they have now switched to hybrid marketing strategy involving their online as well as offline channels.

Automated Vending Machines

Very similar to Bank ATM's these automated vending machines are impersonal form of retailing meant to sell lesser priced routine products like cigarettes, tea, coffee, cold drinks, mineral water, etc. They are very common and popular in western countries, but in India they generally found in airports, metro stations and some big stations or malls but the most popular services provided by them in India is related to dispensing cash to retail customers of banks.

Video Kiosks

These are interactive video terminals connected to retailer's server. A customer can surf through the merchandise offered by the retailer and place orders and even make payments for the same instantaneously. The ordered merchandise is delivered at the customer's doorstep. They are generally found in lobby of premium hotels and high traffic areas like railway stations.

Activity 1

Visit any six stores randomly in your location and prepare a list of the stores having similar and different formats. Which type of stores exhibit similarity or dissimilarity in their format? Can you infer the reasons for the same?

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2.4 BRICK AND CLICK MODEL OF RETAILING

Advent of internet technologies and services resulted in the emergence of 'Brick and Click' model which could be visualized as retailers resorting to multi-channel activities. Customers feel more empowered to decide their purchase and are increasingly resorting

to online purchases, however, a large section of the population find it convenient to purchase through the traditional Brick and Mortar stores (offline stores) either due to their lack of comfort with online activities or transactional security or being comfortable with the “touch and feel” before deciding their purchase.

With passage of time the current generation and Generation Z which is more accustomed to online activities would lead to extensive utilization of virtual reality (VR) and augmented reality (AR) by the retailers to add value to the purchase experience of the customers. The power equation has been gradually shifting towards customers who have ample choice available and can do detailed comparative analysis before making the purchase, thus putting the retailers under strict profit margins. The situation is prevalent in emerging economies like India is further compounded by the erratic availability of internet connections, low band width or may be affordability of gadgets like smart phones or iPods, though the government is trying to remove these bottlenecks and with the advent of 5G online business will witness a major boost.

With the introduction of Web 3.0 whose strength is on utilizing Block Chain Technology, retailers are in a better position to understand their customers throughout their journey. This will further revolutionize the retail business model where the retailers would have to be more transparent across their value chain. Online space has led to the emergence of different genres of e- marketplace like Amazon, Flipkart, Myntra, Nykaa, Meesho etc. Apart from this third party market place, retailers are also setting up their own portals for gaining better margins as well as increasing the emotional attachment of their customers. The brick and click channel has resulted in emergence of new shopping behavior: “showrooming” where customers visit offline stores and end up buying online and “webrooming” which is vice versa. Therefore, what started as multi channel activities has now evolved into omnichannel retailing, because the sustainability of the retailer depends on how efficiently it is being managed the various offline and online channels so as to enhance the customer shopping experience.

Activity 2

Talk to some of your acquaintances about their shopping behaviors in post pandemic period. Try and gather info about their behavior and the reasons for the same.

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2.5 EVOLUTION OF MALLS VS. STANDALONE STORES

Structure and constituents of Malls:

Retail FDI in real estate had doubled during the year 2021 and Malls have been a significant chunk of this retail. Most of the famous real estate players have invested in this sector which includes the following:

Godrej Properties, DLF, Tata Housing, Raheja Group, L&T realty Ltd. India Bulls Real Estate, Omaxe Group, Mahindra Life Space Developers, Hiranandani Communities, Ansal API and Unitech group .

The latest one to join this elite club is the famous LULU group which set up one of the Asia's biggest mall in Lucknow (U.P.) in 2022.

Malls constitute the new shopping destinations for shoppers in Tier I and Tier II cities as they provide whole some experience to visitors due to variety of offerings. A typical mall comprises of:

- Anchor stores, which are the large departmental stores of hypermarkets, located at the prime position of the mall. They are also referred to as signature store specific to a mall.
- Smaller departmental/ apparel stores: These may be multi brand outlets (e.g. Pantaloons, Globus etc.) or exclusive brand outlets (e.g. Zara, Van Heusen, Louis Philips etc.)
- Food court, showcasing varied type of eateries including national, regional and hyper local brands.
- Common maintenance area, meant for usage of all tenants of that mall as well as for showcasing specific promotional events of the tenants on payment of a nominal fees.

Laws/Acts governing the Malls:

As malls are huge structure hosting many stores and shoppers at any time under one roof, various laws are applicable to them. Some of the important laws are:

- National forest policy, 1988
- National conservation strategy and policy statement on environment and development, 1992
- Policy statement on abatement of pollution, 1992
- National environment policy, 2004
- The environment protection act 1986,
- The Water (prevention and control of pollution) Act 1974
- The water cess act, 1977: for sourcing domestic water,
- The Central/State groundwater regulations, 1981
- The Air (Prevention and control of pollution) Act 1981
- The Noise Pollution Rules, 2000
- The Municipal Solid waste rules, 2000
- The minimum wages act, of 1948
- The payment of wages act, 1936
- The workman compensation act, 1923

- The industrial employment (standing order) act, 1946
- The maternity benefit act, of 1961
- The child labor (prohibition and regulation) act, 1986

All acts related to manpower /labor presently being clubbed in four broad codes to be adhered by all business establishments including retailing units.

Stand Alone Stores, refer to those stores which are present on high streets but are not a part of any mall. The choice of being present in a mall or standing alone depends on various factors like the strategic location, amount of visibility available to the store, its size, rental issues or the store's intended positioning. The whole issue boils down to the profitability of the store.

Activity 3

Make a visit to a mall in your location/city. Note the names of the stores present in the mall. Ascertain which brand of stores is not present in the mall you visited, but these stores may exist in some other parts of the city as 'standalone' outlet/store. Talk to the store manager concerned and find out the reason for not being part of the mall and the reasons thereof.

2.6 IDENTIFYING RETAIL STORE LOCATION

Setting up retail store at the most appropriate location is the most critical component of retail strategy. It starts with identifying the target markets the retailer wishes to serve. The next step involves segmenting the residents on the basis of various demographic, behavioral and psychographic variables in a particular geographical area. The span of the geographical area to be served by the retail store, known as "catchment area" of the concerned store is based on various factors like the number of potential customers having the targeted profile, the present and future demand and supply scenario, the intended communication of the brand's positioning, the nature of competition and locational characteristics which influences the accessibility to the store, the rentals and its presence, either on high streets or back lanes etc.

There are some retail gravitational theories which have been suggested by researchers, the details are not being discussed as it is inappropriate at this juncture. Yet, the decision to locate the store does not depend only on the distance to be covered by a customer. The actual location of the store requires deeper analysis. The location decision further involves meticulous planning regarding its presence either in Shopping centre or Business district or maybe totally isolated from these centers. If the store is to be located in a mall or shopping centre, then which floor would be most suitable, considering the various factors stated above. Even the size and format of the store may differ across locations, based on the expected business from a concerned store.

2.7 STORE LAYOUT AND DESIGN

The purpose of shopping in a modern retail store is to shop in a relaxed environment which can also be construed to be a leisure trip. The shopping experience at any store itself acts as key differentiator for that store. Therefore the store layout and design should aim at enhancing the customer experience (CX). In the digital age this CX becomes all the more crucial to attract the customers away from indulging in online shopping. The layout and design impact all sensory organs of the customer and therefore should incorporate elements which can stimulate customers' senses in a positive manner.

The visual communication includes the name, logo, lighting, exterior of the store and fixtures design inside the store. The background music should be soothing enough to evoke olfactory senses. The store layout or planogram should ensure comfortable movement and location of required product / brand on the shelves while shopping. The merchandising element includes selecting the right type of fixtures so that the relevant merchandise is presented in a visually appealing manner. The merchandise mix, which incorporates the categories present in the store, products varieties in each category, availability of different brands in different SKUs (stock keeping units) should be in tandem with the preference of target customers residing in the catchment area of a store.

Even the POS signage announcing any promotional offer on the merchandise should be visually appealing and communicative so that customers can avail maximum advantage of the same during their shopping trip. Overall the store ambience should be such that it should lead to an enjoyable trip worth investing the time and money by the customers during their store visit. Architects are hired to come up with innovative designs based on the available retail space, the best possible entrance and exit pathways and the amount and type of merchandise to be displayed.

Activity 4

While visiting different stores in your city observe and note of their layout and design. Try to correlate these designs with the type of customers, merchandise and available space. Offer your reasons and opinions and justify.

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2.8 SUPPLY CHAIN MANAGEMENT (SCM)

SCM refers to the effective movement and tracking of the materials from the stage of raw material to semi finished and subsequently finished goods and finally ensuring that it reaches the right customers at the right time and place at a cost affordable by them.

In the context of retailing business the vendors are referred as the companies the company's marketing their brand or vendors supplying the private labels to the retailers.

Retailers while operating in offline mode, the focus of SCM is to ensure the procurement of the right merchandise for the customers residing in the catchment area so that they meet the expectations of the customers during their shopping trip following Just-in-Time (JIT) inventory system. This ensures optimal logistics and inventory carrying cost, thus impacting the profitability of the store. With the retailers catering to online as well as offline customers in the digital age, SCM has taken a primal role. Procurement of merchandise from different vendors and its distribution to customers across vast geographical span demands a very lean and efficient SCM system in the organisation.

For instance Reliance Jio mart, Shoppers Stop, Aditya Birla Retail follow the above model of business thus having a robust system in place. Retailers have the option of either maintaining their own redistribution centres (RDCs) where they temporarily stock their merchandise in different localities after procurement from different vendors and till the time they receive any order from a customer in that region or nearby areas. The transportation activities could be handled by the retailer or outsourced to the third parties, popularly known as 3PLs.

Some small retailers prefer to totally outsource the warehousing and physical distribution to third parties. Walmart, a known retailer from U.S.A. with stores spread across all over the world follows the concept of Vendor managed inventory (VMI), wherein the vendors are given the responsibility of managing their inventory at Walmart outlets. The advantage of this system is that the vendors stock and supply only those inventory which have a high turnover. This ensures not only their profitability, but that of Walmart as well. This system is now being followed by many retailers.

2.9 MERCHANDISING

Merchandising refers to planning the procurement and selling of merchandise or goods. As retail is the last stage of any organisation's supply chain, merchandising can also be perceived as the SCM system applicable to retailers. As in the case of any production company, if the raw materials procured are of standard quality, they will translate into quality output. Similarly, if quality products are procured by the retailer, it will translate into good sales, thus impacting the brand image of the retailer in the long run.

It is not just restricted to procuring quality product, but also planning the categories under which variety of products would be stocked. The merchandise to be stocked would depend on the target segments' preferences and the positioning of the store in a particular market for e.g. a well-known retailer like Bata operates two branded chain of stores, one by the traditional name of 'Bata', other by the name of 'HushPuppies'. Bata caters to value for money segment and hence stocks mid priced and lower priced multi branded merchandise, whereas HushPuppies cater to premium segment and hence stocks high priced Hush Puppies brand exclusively.

Another retailer "W" caters only to women's clothing and hence stocks variety of women's clothing for all seasons, occasions, age and size. Once the products are decided upon, vendors are involved in working out the set of "national brands" and "store brands" also known as 'private labels' of the retailer as well as SKUs of each brand. The SCM system in collaboration with the concerned vendors and the merchandising team calculates the inventory to be displayed in the store as well as stocked in warehouse or RDCs for fast and continuous replenishment. The merchandising team may add or drop a product, brand or SKU from the store's portfolio depending on the emerging demand or their turnover at the store. They may change the

position of the category or the placing of the categories or products if the current planogram is not achieving the store's objective.

2.10 PRIVATE LABELS

Private labels or store brands are unique to retailing business. They refer to those brands which are owned by the retailer and are exclusively sold at their outlets. These brands are manufactured and marketed or only marketed by the retailer with their own brand name. Some popular examples could be 'croma' brand of small appliances marketed by Tata Croma store or 'Tasty treat' brand of processed and packaged foods marketed by Future Group or 'Spencers True Value' brand of packaged grocery and food items marketed by Spencers.

The advantages of marketing private labels are many. The squeezed supply chain, because of direct procurement from the vendor or manufacturer results in generating more profit margins. Moreover, if a retailer has a strong private label portfolio it can dictate terms to large marketers, selling their 'national brands' Private labels are the crux of modern retailing as this is where the retailers earn maximum profitability.

Activity 5

During a visit to any large store or retailer list down the private labels available in any four product categories. Offer your reasons how these categories are similar yet different from National brands.

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2.11 RETAIL STORE OPERATIONS

Modern retail refers to big size stores compared to traditional retail and stocks much larger inventory. Accordingly, they require huge amount of resources, capital as well as manpower. In order to ensure smooth 24 X 7 operations of the store, retailers draft a standard operating procedure for all the stores across the chain. There may be minor variations in the operational procedure for each store based on its specific situation which is decided by the concerned store manager only after prior approval of head office. It starts with laying down the procedure for opening the store every morning, conducting inventory audit and following up with specified process of billing, replacement, replenishment, after sale service, till the closing of the store at the end of the day.

A standardised operating procedure ensures that there is consistency in the functioning and clarity among all employees of the retailer. Various policies related to business hours of the stores throughout the year, placing of products on the basis of Last in-First out (LIFO) or First in First out (FIFO) on the shelves, returning / replacement of goods by the customers, visual merchandising, floor personnel's responsibilities during business hours are drafted and communicated to the personnel for smooth functioning of daily operations at the stores.

2.12 SUMMARY

A modern retailer has to consider multiple basic factors for running a successful business. It has to decide what format, type of merchandise, their style of display and store location would be best suited for it, given its target customers and positioning in the marketplace. Post covid time has seen a growth in a hybrid retail model comprising online and offline retail platforms as the customer's behavior has changed over the last few years. The other critical success factors for retailers are the successful implementation of their private label programmes and a lean supply chain management which ensures that they are able to offer right products/ brands at the store at the right time for a segment of customers at an optimal cost borne by the retailer.

2.13 SELF-ASSESSMENT QUESTIONS

- 1) What is the concept and the essence of the theory of "wheel of Retailing"?
- 2) Why is retailing done through different formats?
- 3) Explain the uniqueness of "Click and Mortar" model of retail business.
- 4) Discuss a private label that you are familiar with make a SWOT analysis and report the key success factors that the private label enjoys.

2.14 REFERENCES/FURTHER READINGS

Managing Retailing: Piyush Sinha & D.P. Uniyal, Third edition OUP.

Retail Management: J.K. Nayak & Prakash. C. Dash Cengage Publications, 2018

UNIT 3 RETAIL ENVIRONMENT

Objectives

After reading this unit you should be able to:

- have an understanding of store as a part of social framework
- be familiar about the regulatory framework pertaining to retail business
- discuss the legal framework and all the guidelines contained in it
- talk about the importance of ethics and the ethical framework in retailing
- gain knowledge on the various security issues and their significance
- have a clear understanding of the above aspects in driving sustainability of retail sector

Structure

- 3.1 Retail Environment: An Overview
- 3.2 Retail Store as a Social Entity: An Introduction
- 3.3 Regulatory Framework for Retailers
- 3.4 Legal Framework of Retail Business
- 3.5 Legal Issues Related to Employee Include
- 3.6 Ethical Considerations and Responsibilities in Retailing
- 3.7 Security Considerations in Retailing
- 3.8 Sustainability of Retail Organization
- 3.9 Summary
- 3.10 Self–Assessment Questions
- 3.11 Further Readings

3.1 RETAIL ENVIRONMENT: AN OVERVIEW

Worldwide, the retail environment is exposed and influenced by the external factors and forces that affect the retailer's ability to build and sustain meaningful transactions and relationships with its target customers.

The environment in which retailers operate can be conveniently categorized as micro and macro environment. While the micro environment confines itself to the main actors who help enable to drive and achieve their goals and objectives of the business. These actors include the suppliers, intermediaries, customers, competitors and publics at large. All these actors have been touched upon and discussed in other units of this course where ever they are deem fit and relevant

As the macro environment constitutes the legal, social, economic and technological forces. The major focus of this unit is only on all these constituents of macro environment which are inter connected in different situations and their strategic importance in every retail business

3.2 RETAIL STORE AS A SOCIAL ENTITY: AN INTRODUCTION

Customers residing in a catchment area tend to shop in stores which fit well in the realm of their social environment. This implies that different customers may shop in different stores even if the product is same. It can also happen that customers may shop in different stores at different times depending on their acquaintances during their different shopping trips. Even their interaction with shopkeeper or store personnel would depend upon the sociocultural milieu of the city as well as their own social network.

Thus customers shopping in a modern format would be more formal in their approach than when dealing with kirana walas. Even the shoppers visiting a high end store would behave differently as compared to those visiting mass merchandisers. These phenomena are mere reflections of the social framework in a particular area.

Every store is an element of larger social system in a given geography, known as markets. These markets are places of high traffic commercial transactions. Yet, the nature of transactions differs in the form of emotional and behavioural reactions of different customers or may same set of customers in different retail environment. A crowded or heavy traffic environment generally encourages lower prices. The shopping objective is largely driven by tendency to spend less time in shopping but buying lower priced products. Asian shopper has been found to be more comfortable with shopping in crowded markets than majority of their European counterparts.

This phenomenon is reflective of the fact that Asian countries are more populated than European countries and therefore, the tolerance to “crowded life” is high. The concept of crowding is also observed in the formats and the stocking of merchandise, especially in traditional stores. The stores are extended beyond the permissible limits as sanctioned by the city’s municipal corporation. These issues are not observed in modern stores in the same locality as one section of the society which prefers avoiding the crowd in everyday life, popularise these stores. These customers are more attuned towards the “shopping experience” and therefore, are provided that opportunity to spend quality shopping time by getting more involved in their shopping exercise and thus derive satisfaction. These set of customers are additionally looking forward to better store ambience and more personalised attention from the retailers.

As a result the POPs, visual merchandising (VM) and salesperson’s interactions are stressed upon to enhance the customers’ level of involvement. Even the processes are to be kept very customer friendly and minimal so as not to offend the customers. The modern retail also provides an opportunity for group shopping, which has been observed to be an added attraction for customers in Asian countries which are collectivist in nature as opposed to the western societies which are individualistic in nature. Therefore, the quantity and variety of stores operating geography is highly dependent of the socio cultural milieu of the concerned catchment area.

3.3 REGULATORY FRAMEWORK FOR RETAILERS

The Department of Promotion for Industry and Internal Trade (DPIIT), which falls under the aegis of Ministry of Commerce and Industry, Govt. Of India is primarily

responsible for drafting the regulatory framework of retailing business in India. This department has been instrumental with proposing foreign direct investment (FDI) in retail business in India over the years. Later as e-commerce picked up, it has drafted policies related to e-commerce business as well, so as to ensure common playing field for all stakeholders in this industry.

3.3.1 FDI in Retail

This policy envisages up to 100% FDI in cash and carry/ wholesale trade business as well e-commerce (B2B) business. The policy also allows 100% FDI in single brand retailing. All the above investment could be made through direct route. In the case of multi brand retailing a cap of 51% FDI is in place with the condition that it could be achieved only through Government approval.

The other important and strict conditions for attracting FDI in multi brand retailing are as follows:

1. Fresh agricultural produce, including fruits, vegetables, flowers, grains, pulses, fresh poultry, fishery and meat products, may be unbranded.
2. Minimum amount to be brought in, as FDI, by the foreign investor, would be US \$ 100million.
3. At least 50% of total FDI brought in the first tranche of US \$ 100 million, shall be invested in 'back-end infrastructure' within three years, where 'back-end infrastructure' will include capital expenditure on all activities, excluding that on front-end units; for instance, back-end infrastructure will include investment made towards processing, manufacturing, distribution, design improvement, quality control, packaging, logistics, storage, ware-house, agriculture market produce infrastructure etc.
4. At least 30% of the value of procurement of manufactured/processed products purchased shall be sourced from Indian micro, small and medium industries, which have a total investment in plant and machinery not exceeding US \$ 2.00 million.
5. Retail sales outlets may be set up only in cities with a population of more than 10 lakh as per 2011 Census or any other cities as per the decision of the respective State Governments, and may also cover an area of 10 kms around the municipal/urban agglomeration limits of such cities.

(Source: Consolidated FDI policy 2020, Govt. of India)

Likewise, DPIIT has circulated draft national e-commerce policy for wider discussion among all stakeholders. The proposed policy is being drafted considering the efficient use of cyberspace in facilitating all types of e-commerce activities as well as protecting the interests of offline players.

The FDI policy in this case invites interests from 'marketplace model' alone. This ensures that foreign investors investing in e-commerce platforms cannot exercise ownership to stocks being sold on the platform. This clause protects the small offline retailers of multi-branded products. It additionally considers the case of local manufacturers/MSMEs, stockists and traders so as to create a level playing field.

3.3.2 Regulatory framework for E-commerce

The proposed E-commerce policy is looking into many facets of e-commerce business. The uniqueness of e-commerce business is the fact that apart from the customers who benefit from lower prices, the actual owners, who may be operating from foreign land, are the other beneficiaries in terms of their access to the vast set of customers' confidential data and low accountability of their services to the end customers. The return to the hosting country is also limited. Given the interdisciplinary nature of e-commerce business, statutes related to Information act and rules, the consumer protection acts, the competition acts have to be considered while formulating the e-commerce policy. Since it falls under the interstate trade and commerce, e-commerce policy formulation is the responsibility of the centre under schedule VII of the constitution.

The foremost issue to be addressed here relates to data. Internet facilitates creation and circulation of data. Greater access to data ensures faster growth of business. This creates a monopolistic situation for first movers and these are generally IT giants who already have infrastructure i.e. networks in place to capture and utilise the data for their benefits. Therefore the Govt. is formulating policy to control the source of data to prevent its manipulation for the benefit of few big players. Data privacy and its misuse have ramifications for law and order problem as well. Integration of MSMEs and start-ups to e-commerce network for achieving 'Atmanirbhar Bharat' is another essential component for policy framework. As the returns to the hosting country are not commensurate with earnings of the owners, taxation issue needs a thorough revision. Rules related to protection of consumer rights need to be strengthened by incorporating electronic redressal mechanism and regulating unsolicited commercial messages. The responsibility of commercial content on these platforms would lie with the owners of the platform. The Govt. also plans to rope in the services of promoting an ecologically sustainable environment through these platforms by promoting the concept of 'reduce, reuse and recycle'.

3.3.3 Role of ONDC

Open network for Digital Commerce (ONDC) envisages creating an open network where buyers and sellers can interact across platforms as against the present platform centric model where only buyers and sellers present on any one platform can interact with each other. It is an open network similar to internet as compared to intranet. Once it is fully operational, the amount of e-commerce would increase manifold just as introduction of Unified payment interface (UPI) by Government resulted in increase the number of digital wallet transactions in India. Launch a robust ONDC is another step towards creating an enabling ecosystem by Govt. of India.

3.4 LEGAL FRAMEWORK OF RETAIL BUSINESS

The laws related to functioning of corporate body, IPR, trade, tax and employment are also applicable to retail industry. The legal framework is formulated under the overarching FDI policy (discussed earlier) and FEMA (Foreign Exchange Maintenance Act 1999). The FDI policy lays out two means of investment: The automatic routes and Government route. Under the latter, prior approval of Foreign Investment promotion Board (FIPB) is essential.

Competition in India is governed by the Competition Act. 2002, amended further in

2007. This act seeks to promote fair competition as well protect the rights of consumers under the watchful supervision of Competition Commission of India (CCI).

CCI may review any agreement between business which may have adverse impact on the players in the market and/or the consumers.

The Competition Act seeks to:

- Prohibit any abuse of dominant position by any player in the industry.
- Prevent any anti- competitive pact entered into, by two or more players.
- Regulate any type of conglomeration (mergers, acquisitions and amalgamations) that may have an adverse effect on fair competition.
- Provide a redressal forum to adjudicate over claims and disputes

The amendment bill, 2007 ensures that parties entering into any combination of their respective entities would have to seek prior approval from the CCI. In 2012 prior approval of CCI was sought before the takeover of Future Group's Pantaloon business by Aditya Birla Retail Fashion Ltd. (ABFRL). In 2020, when Future Retail Ltd. wanted to sell their whole business to Reliance Retail they sought the permission for the same from CCI.

The other significant acts to be considered are:

- The Trademark act
- The Indian Contracts act
- The Sale of Goods Act
- Acts pertaining to Central Sales Tax and Central excise duties

If we look at the various elements of any retail business, then any law related to: -

- Procurement of merchandise
- Store operations
- Sale of merchandise
- Employee
- Consumers

are to be considered in detail. The existence of several enforcement and regulatory authorities, at central, state and local levels, governing a business entity requires a number of licensing and approvals to be obtained before commencing operations.

List of Licenses required for starting a retail business in India include:

- Shops and Establishment licenses
- Trade License
- Cold Storage licenses
- Contract labour Registration

- Signboard license
- Forecourt License (for out of store sales, if any)
- Health and Sanitary License

Depending on the specific categories being retailed there may be other licenses to be availed like:-

- Food License
- APMC license
- Eating House license
- Essential commodities Act –Storage control order
- License under Drug and commodities act.

Approval from the concerned authorities include:-

- Fire Department NOC
- License for ground water usage
- State wise Service Tax registration
- DG set approval from Local electricity board
- Registration of manufacturers, packers and importers under Rule 35 of Standard of weights and measures (Packaged commodities) rules

The above licenses and permits are required besides other basic registrations such as registration for PAN, VAT, GST, TAN, ESI, PF etc.

3.5 LEGAL ISSUES RELATED TO EMPLOYEES INCLUDE

- Employee state insurance act (ESIC) 1948***, seeks adequate social security for employees during sickness, health related issues and mortality due to work related injury. These benefits are meant for employees drawing a salary of less than INR 3000/- per month. This scheme is financed by contributions raised from employers as well as the employees, in the ratio of 4.75: 1.75 of the wages earned.
- Payment of Bonus act, 1985*** as a section of Factories act is applicable to establishment employing 10 to 20 workers and covers all employees earning less than INR 2500/- per month.
- Employee Provident Fund Act*** is meant to secure the future of the employee once he/she retires or for his dependents in case their demise. It is applicable to establishment employing 20 or more persons.
- The Minimum Wages Act. 1948*** determines the minimum wages in industry and trade where labour organisations are non-existent or ineffective.
- The trade union Act. 1926*** aims to confer a legal status to registered trade unions in the organisation and defines their rights and obligations.

- f) The employment of women is a significant issue as half of the working force is women in retail industry therefore the below mentioned laws/acts are applicable for women.
- The Contract labour Act, 1970,
 - The Interstate Migrant workmen Act, 1979,
 - The maternity Benefit act (upon completion of 80 working days),
 - Equal Remuneration Act, 1976
- g) ***The payment of wages Act, 1936*** ensures that employees are paid regularly and prohibiting employers from imposing arbitrary fines.

3.5.1 Legal issues in Store Operations

- a) ***The Shop and Establishment license*** is issued by local Municipal Corporation only when the store operation commences and is renewed every year. It provides rights and obligations of the retail establishments. The shop has to get it registered within 30 days of commencement of operations and apply for closure of the establishment within 15 days of its closure. It also states business hours per day and guidelines for holidays, leaves, rules for employing children and women and termination of the services of the employees.
- b) ***The Prevention of Food adulteration (PFA) license*** has to obtain for selling food products. If required, obtaining a machinery license for freezer/ chiller permit is mandatory. These licenses are issued by Regional Food & Drug Administration and Health officers in the name of the directors of the company, generally for a period of five years. This act also specifies the manner of labelling food or non food products.
- c) ***The Industrial Disputes Act, 1947*** provides machinery for peaceful resolution of disputes between employers and workers. It is applicable to all industrial and commercial establishments and covers employees earning INR 1600/- per month. It excludes managerial staff. The act also serves as a reference of dispute for adjudication and award of labour courts.
- d) ***The Consumer Protection Act, 1986*** is meant to protect the interests of the consumers. It makes provisions for establishment of consumer council for settling consumers' disputes. It has been enacted to facilitate fast and low cost remedy to the consumers and protect them from any intended exploitation by traders or service providers. Complaints can be filed by aggrieved consumers in writing with District Forum for compensation up to 20 lakhs, scale it to State commission for compensation of 1 crore and National Commission for amount exceeding 1 crore.
- e) ***Essential Commodities Act. 1955*** administered by the Union ministry of Food processing to regulate quality manufacturing, commerce and distribution of essential commodities like food.
- f) ***The standards of weights and measures Act. 1976*** and ***the standard of weights and Measures (Packaged Commodities rules) 1977***, governed by ministry of law and justice and department of company affairs is applicable to any packaged commodity. It defines a pre packaged commodity as any commodity whose value is fixed in the absence of the purchaser which cannot be altered

without opening the package. It requires detailing complete list of ingredients, their month of manufacture, packaging and expiry. It should also list details of the person to be contacted in case of any complaints. In case of vegetarian food products, the packaging should indicate a green colour filled circle and a non-veg food should exhibit brown colour filled circle.

3.5.2 Other product specific certifications

The Bureau of Indian Standards (BIS), a national standards body of India working under the Ministry of Consumer Affairs, Government of India provides certification on consideration of health and safety like LPG cylinders, electrical and electronic instruments, milk powder, packaged drinking water etc., but it is voluntary for other categories. It has provided nearly 35000 licenses to manufacturers covering all industrial discipline from agriculture to electronics.

Hallmarking of Gold was introduced by BIS to prevent adulteration in sale of gold items as gold is a most sought after metal in India. This benchmarking ensures that manufacturers and retailers of gold jewellery maintain legal standard of fineness.

3.6 ETHICAL CONSIDERATIONS AND RESPONSIBILITIES IN RETAILING

1. Ethical practice of any business is driven by the value system of the organisation. Retailer's prime motive is profitability, yet these are very closely linked with the social responsibility of their business venture. Therefore the retailer must develop a set of values which acts as a guide to their appropriate behaviour.
2. Their core responsibility is towards recognising the rights of their customers. Retailers should provide them ample freedom of choice during their shopping trips, be transparent in their dealings, deliver as per their promises and be supportive of their customers' grievances. Protecting the privacy of the customers' have become critical in this age of online transactions and in the absence of stringent laws some retailers tend to flout the norms, but ethical retailers would always strive to follow some unwritten norms for protecting their customers' privacy.
3. The other significant stakeholders are the general public. Legislations to prohibit hoardings and black marketing exist in the system, yet socially responsible retailers strive to achieve the expectations of the society. Actions like providing recycled packaging and baggage, donating to a cause, not participating in endorsing products like tobacco or discriminating activities and taking a stand against any illegal activities are reflection of their ethical behaviour.
4. As retailing is essentially about providing a good service to the customers, the onus lies on its employees for satisfying the customers. Therefore, fair treatment of the employees by implementing appropriate employee policies as enacted by the law of land. A trustworthy relationship between employers and employees based on ethical policies and related reward for good behaviour prevents pilferage by employees.
5. Retailers have to deal with multiple vendors, logistics partners, bankers, chartered accountants, legal advisors and lenders. Their interaction with each in a transparent manner results in delivering value to all these business partners.

6. Shareholders look forward to steady earnings from the retailer. Hence maintaining high standard of governance is a strong protection from any regulatory or prosecuting agency, whose penalising action can disrupt the smooth functioning of the retailer.
7. Apart from the above actions, retailers should be ethical in selling, pricing, storing and distributing quality products /services. The top management's actions should be seen as ethical in every aspect. In case of any genuine lapses on their part or grievances by the customer, retailer should be ready to recall their product and replace it with equally good product. Ethical retailers have a robust "goods return policy" in place to handle this issue.

3.6.1 Green tailing: As an Ethical Practice

With the danger of global warming and related destruction to the environment looming large, every business entity, including retailers are expected to conduct business in an "environment friendly" manner.

"Greentailing" refers to the business of selling environmentally friendly products and practice environment friendly processes to run their business. JC Penny was the first retailer to earn Energy star for their processes by reducing the carbon footprints of its operations. Many retailers are encouraging their customers to return items not being used or empty packaging of used products for recycling. Even the stores are being redesigned and customers being educated about the significance of 'mindful consumption' by encouraging them to bring their own bags for shopping, charging the customers for shopping bag in case they are not carrying one. These shopping bags are themselves produced through recycled materials.

Timberland, a retailer launched eco-friendly footwear made of recycled rubber, which could also be dissembled easily after its life and recycled again for future manufacturing of shoes. The Bureau of Energy Efficiency in India has termed retailing as energy intensive industry. Therefore the onus to reduce the carbon footprints lies on the retailers by implementing new 'green practices'.

Food retailers are encouraged to adopt organic produce under Agmark with organic certification as per the new clause in section 3 of Agricultural Produce (grading and marking) Act 1937. The insignia for green produce under Agmark ensures credibility to the claims of the retailer and assures the customer about the retailer and its offerings.

3.7 SECURITY CONSIDERATIONS IN RETAILING

Security of the store includes protection from external causes as well as internal weaknesses or lacunae. The external reasons could be damages due to natural calamities or due to law and order problem in the area.

Government institutions like GIC, OIC or private insurance companies like Bajaj Allianz, HDFC Ergo, Tata AIA and others provide commercial insurance against the above mentioned external factors. They are largely of four types of insurance policies:

1. *general liability insurance,*
2. *property insurance,*
3. *business Interruption insurance*
4. *cyber liability insurance.*

Depending on the nature of business and retailer's risk averseness, they can opt for all or some of the above insurance policies.

The other security considerations are related to internal store operations. They refer to shrinkages in inventory on account of employee theft or shoplifting. According to a survey, India had the greatest shrinkage rate in 2016, costing INR 3470 crores (2.38 percent of total sales of the organised retail industry). Inventory reduction as a result of theft in any form is referred to as "shrinkage." The above percentage was made up of 25.5 percent staff theft and 47.6 percent shoplifting.

Shoplifting are part of organised retail crime (ORC) This is a significant drain on the store's profitability and hence adequate measures are required to minimize it through fool proof measures in place. The various measures should be such that pilferage should be contained without either hindering the shopping experience of the customers or offending them in any manner.

Preventive measures for internal security could be:

- ✓ Store layout should be designed in such a manner that it prevents chances of theft.
- ✓ Technological support in terms of installing detectors at exit, tagging all the products with RFID (radio frequency identification device), installing security cameras and mirrors at crucial points in the store. The Electronic Article Surveillance (EAS) System is a combination of some of the above tools. It has given good results during the last few years. Facial recognition technology is useful for check-out free stores which are largely unmanned.
- ✓ Staffs are the key to any successful retailing as retailing is essentially a service. They must be sensitized to be alert during the duty hours and maintain vigil throughout business hours. Staff should be more approachable to the customer. A customer friendly approach has to be adopted.
- ✓ Staff retention and welfare must be taken care by the store management. A continuous interaction with staff and encouragement must be adopted by stores. A motivated workforce would refrain from indulging in unethical and illegal activities. A good mix of staff from diverse background contributes to building a cosmopolitan work culture, which fosters diverting one's energy in constructive ideas rather than indulging in unethical activities.
- ✓ A standard operating procedure (SOP) based on proper and systematic inventory management system acts as a deterrent for any errant employee or customer.
- ✓ Regular in house audit of one department by another ensures timely identification of losses and formulating better checking mechanism in the system. These audits are supplemented by annual external audits.
- ✓ All the above measures are significant as every retailer cannot afford high end technological support to prevent various types of pilferage.

3.8 SUSTAINABILITY OF RETAIL ORGANISATION

The regulatory, legal, ethical and security framework defines the macro business environment for retailing business in India. The sustainability of the retail organisations

depends upon them ensuring a proper fit between their business environment, their customers, competitors and their business objectives. The purpose of creating a robust framework by various arm of the society is to provide an enabling environment for the retailing industry to flourish in India.

Retailing is not about just generating profit for the owners but being a socially responsible business organisation, caring for the ecology, public at large and business partners, apart from their customers. It started with government updating its FDI policy over the years considering the changing business landscape in India.

Another issue at this point is the Government's initiative to frame a robust e-commerce policy in India under pressure from the offline retailers [represented through Retailers Association of India (RAI)]. The huge discounts being offered by the big e-marketplace players were endangering the livelihood of traditional as well as modern offline retailers; therefore government intervened to come up with an e-commerce policy in place to safeguard the interest of the offline retailers after consultation with all stakeholders which are being revised as new developments take place in the marketplace.

Similarly, government has issued detailed guidelines regarding online transactions and created online transactions platform known as UPI (unified payment interface) to ease the digital transactions.

Growth of retailing will contribute to providing new employment avenues to a large section of the population, more options for customers to fulfil their needs, increased business for manufacturers, traders, logistics partners and IT system developers. All of the above developments would contribute to increase GDP of the country.

3.9 SUMMARY

A store is a reflection of the society in which it operates. It also fosters social gatherings during shopping trips with family and friends. The nature of interactions among floor salespeople and customers is in tandem with socio-cultural interactions of the people residing in the catchment area of the store.

The regulatory framework in conjunction with legal boundaries being put in place by the different arms of the society, i.e. executive, judiciary and legal are evolving with fast changing landscape of retailing. The security of the retail establishment is important for encourage investment in retail business.

Therefore Government has put in a strong system in place by setting up public institutions and encouraging private players as well to provide insurance cover to retailers. The retailers are also supported by technology partners to install internal security system to prevent pilferage. The ethical framework evolves from the socio-cultural values of the society served by the retailers at a particular period, but largely it is about seen as being responsible to the well-being of the society at large. The entire above framework is critical in evolution of sustainable retail business in any society.

3.10 SELF-ASSESSMENT QUESTIONS

1. Discuss the role and importance of FDI in operating retail business in India.
2. Explain the role of ONDC in promoting e-commerce in India.

3. List out and elaborate the external security measures that are required to protect retail business.
4. Can retailers contribute to the sustainability of ecology? Substantiate.
5. An in-depth understanding of business environment related framework is essential in operating a sustainable retail business in India. Discuss the above statement.

3.11 FURTHER READINGS

Retail Management: J.K. Nayak & Prakash. C. Dash Cengage Publications, 2018.

Retail Management : Swapna Pradhan McGraw Hill Publications 2019.



